

ENGLISH **LIVE**

41

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 41

24th MARCH, 2017



Growth by merger

Both Vodafone and Idea stand to gain much from the merger in a tough market

The Vodafone Group's decision to merge its India unit with the Aditya Birla Group-controlled Idea Cellular is a classic case of two companies recognising truth in the adage that 'the whole is greater than the sum of its parts'. Of the two mobile operators, Idea functioned in its early years as a three-way joint venture involving the Tata Group, U.S. telecommunications behemoth AT&T, and the Aditya Birla Group. The proposed deal represents a welcome chance to resurrect its flagging fortunes. The last three quarters proved a brutal testament to the ravages that heightened competition could wreak on a middle-of-the-pack firm's operational finances. In Vodafone's case, the planned merger offers the global telecom major an opportunity to downsize its engagement with a market in which promise has outweighed performance, without actually exiting it. To that extent, it is a win-win for both parties. Set to vault the combined entity to the top of the heap in India's 1.13-billion subscribers strong mobile phone services market, the 'merger of equals', as the two companies described it, will enable Vodafone to straight away net about ₹3,900 crore on consummation of the deal by selling a 4.9% stake to the Aditya Birla Group, leaving its holding in the new company at 45.1%. Idea's controlling shareholders will have an opportunity to increase the 26% stake they will have at the start of the relationship by acquiring more shares from Vodafone over the next four years. The two firms expect to see substantial cost savings as the projected synergies from capital and operational expenditure help focus on meeting the challenges of a fast-evolving market amid a tariff war with the current leader Bharti Airtel and the ambitious recent entrant Reliance Jio.

Nevertheless, the merger, however grand the scale, could well end up being less than adequate to help staunch the flow of red ink amid an industrywide slide in average revenue per user and the steadily escalating cost of bidding for fresh wireless spectrum. With mobile number portability having made it easier for customers to switch networks on account of service quality levels or pricing, Vodafone and Idea have their work cut out in the lead-up to the merger, which they expect to close in 2018. For Vodafone, the prospect of having to meet a huge bill of about ₹21,000 crore, were it to lose its arbitral challenge to a tax claim dating back to the transaction that paved its entry to the Indian market, must surely have been a significant consideration in tipping its hand. As the company's Chairman Gerard Kleisterlee wrote in the 2016 annual report: "While India represents an excellent long-term investment opportunity, the present regulatory challenges are hampering economic development... and this is exacerbated by other ongoing regulatory and fiscal burdens." Time alone can tell whether this will end up as a truly successful marriage.

DISCUSSION ON 24th Mar (Today)

DISCUSSION ON 27th March (Monday)

Time to Bring in a Tough Privacy Law

The Aadhaar Act is not enough to prevent misuse

Most people love to see fish swim about inside a glass aquarium. Few would enjoy the prospect of trading places with the fish. But that possibility is very much on the cards, with the government making Aadhaar mandatory for an increasing number of functions. The government needs to put in place a strong privacy law, to prevent such piscine transformation of Indians, and to protect their privacy, recognised by anyone sane as a necessary condition of life and liberty. The Aadhaar law has some provisions to prevent its misuse but that is not enough.

Authentication of a person's identity using Aadhaar should be only after securing his/her consent in a fashion that leaves a clear, inviolable record. The technology and protocols required to ensure this would appear to be inadequate. Beyond authentication, the very tagging of an increasing number of activities with Aadhaar paves the way for not just the state playing Big Brother who watches whatever you do but also of private companies



seeking to map consumers' behaviour, health, financial status and tastes, to create an information asymmetry prejudicial to not just consumer interest but also individual liberty. The National Health Policy 2017 envisages extensive data gathering on healthcare.

Portability of medical records by storing them in the cloud would be of great use and convenience, no doubt, but if that data can be accessed by people who have no business to, that would be a major problem. It would be worse, if the data is tagged by Aadhaar and the medical data is correlated with financial data also tagged by Aadhaar. Since payments above a limit would need the income-tax department's Permanent Account Number (PAN) card to be shown and since PAN has to be mapped to Aadhaar, access to Aadhaar data can potentially lead to access to an individual's payments history.

Then there are online privacy issues unrelated to Aadhaar. The EU has assured its citizens they have the right to be forgotten online. Such a right needs a firm legal basis in India as well. Any law, of course, is only as good as its enforcement.

LIVE

THE HINDU

Date : 22nd March, 2017

THE ECONOMIC TIMES

Date : 24th March, 2017

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Nevertheless, the merger, however grand the scale, could well end up being less than adequate to help staunch the flow of red ink amid an industrywide slide in average revenue per user and the steadily escalating cost of bidding for fresh wireless spectrum. With mobile number portability having made it easier for customers to switch networks on account of service quality levels or pricing, Vodafone and Idea have their work cut out in the lead-up to the merger, which they expect to close in 2018. For Vodafone, the prospect of having to meet a huge bill of about ₹21,000 crore, were it to lose its arbitral challenge to a tax claim dating back to the transaction that paved its entry to the Indian market, must surely have been a significant consideration in tipping its hand. As the company's Chairman Gerard Kleisterlee wrote in the 2016 annual report: "While India represents an excellent long-term investment opportunity, the present regulatory challenges are hampering economic development... and this is exacerbated by other ongoing regulatory and fiscal burdens." Time alone can tell whether this will end up as a truly successful marriage.

Growth by merger

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Growth by merger

LIVE

Both Vodafone and Idea stand to gain much from the merger in a tough market

- The Vodafone Group's decision to merge its India unit with the Aditya Birla Group-controlled Idea Cellular is a **classic** case of two companies recognising truth in the **adage** that 'the whole is greater than the sum of its parts'.
- Of the two mobile operators, Idea functioned in its early years as a three-way **joint venture** involving the Tata Group, U.S. telecommunications **behemoth** AT&T, and the Aditya Birla Group.
- The proposed deal represents a welcome chance to **resurrect** its **flagging** fortunes.
- The last three quarters proved a **brutal testament** to the **ravages** that heightened competition could **wreak** on a middle-of-the-pack firm's operational finances.
- In Vodafone's case, the planned merger offers the global telecom major an opportunity to downsize its engagement with a market in which promise has **outweighed** performance, without actually exiting it. To that extent, it is a win-win for both parties. Set to **vault** the combined entity to the top of the heap in India's 1.13-billion subscribers strong mobile phone services market, the 'merger of equals', as the two companies described it, will **enable** Vodafone to straight away net about Rs.3,900 crore on **consummation** of the deal by selling a 4.9% stake to the Aditya Birla Group, leaving its holding in the new company at 45.1%. Idea's controlling shareholders will have an opportunity to increase the 26% stake they will have at the start of the relationship by acquiring more shares from Vodafone over the next four years.
- The two firms expect to see **substantial** cost savings as the projected **synergies** from capital and operational expenditure help focus on meeting the challenges of a fast-evolving market amid a tariff war with the current leader Bharti Airtel and the **ambitious** recent entrant Reliance Jio.
- **Nevertheless**, the merger, however grand the scale, could well end up being less than adequate to help **staunch** the flow of **red ink** amid an industrywide slide in average revenue per user and the steadily escalating cost of bidding for fresh wireless spectrum.
- With mobile number portability having made it easier for customers to switch networks on account of service quality levels or pricing, Vodafone and Idea have their **work cut out** in the lead-up to the merger, which they expect to close in 2018. For Vodafone, the prospect of having to meet a huge bill of about Rs. 21,000 crore, were it to lose its arbitral challenge to a tax claim dating back to the transaction that paved its entry to the Indian market, must surely have been a significant consideration in **tipping its hand**.
- As the company's Chairman Gerard Kleisterlee wrote in the 2016 annual report: "While India represents an excellent long-term investment opportunity, the present regulatory challenges are hampering economic development... and this is **exacerbated** by other ongoing regulatory and fiscal burdens." Time alone can tell whether this will end up as a truly successful marriage.



vodafone

+



ADITYA BIRLA GROUP



Merger



Established ... 1941
Headquarters ...
Hyderabad



Established ... 1945
Headquarters ...
Thiruvananthapuram



Established ... 1913
Headquarters ...
Bengaluru



Established ... 1963
(Year of Merger)
Headquarters ... Jaipur



Established ... 1917
Headquarters ... Patiala

- Merger of State Bank of Saurashtra with SBI took place in 2008 & State Bank of Indore with SBI took place in 2010.

Merger

Two separate entities combine to create a new organization



Acquisition

Takeover of small e-commerce companies by big companies like Amazon / Flipkart occurs normally during the consolidation phase of e-commerce industry.

amazon.com

Flipkart



mime360

MYNTRA.com

appITERATE



PhonePe
Keep Payment Simple

Acquisition

Takeover of one entity by another / sometimes known as takeover (with a negative connotation)



Amalgamation

COMPANY

COMPANY

COMPANY

A

+

B

=

C

Amalgamation

Combination of two or more companies into a new entity.
Neither of the combining companies survives as a legal entity



Growth by merger

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Adage

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*Scientists have shown that there is a degree of truth in the old **adage** that love is blind.*



Adage

A proverb or short statement expressing a general truth



Classic

*IISc, Bangalore can be regarded as a **classic** research institution in the country.*



Classic

Having a high quality or standard against which other things are judged



*The patient had all the **classic** symptoms of diabetes.*

Classic

Having all the characteristics or qualities that you expect



Growth by merger

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LEARNING SPACE

...Transforming Human Lives

Of the two mobile operators, Idea functioned in its early years as a three-way **joint venture** involving the Tata Group, U.S. telecommunications **behemoth** AT&T, and the Aditya Birla Group.



LEARNING SPACE

...Transforming Human Lives



Joint venture

*The road infrastructure is being developed in our country and in most of the times, they are being developed as **joint venture** projects.*



Joint venture

It is a business arrangement in which two or more parties agree to pool their resources for the purpose of accomplishing a specific task.



Behemoth

Several industrial *behemoths* across the world do not care much about the environment.



Behemoth

Something that is extremely large, most powerful organization



Growth by merger

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LEARNING / SPACE

...Transforming Human Lives

The proposed deal represents a welcome chance to **resurrect** its **flagging** fortunes.



LEARNING / SPACE

...Transforming Human Lives



Resurrect

*Several Bollywood stars of the 1970s' and 80's are trying to **resurrect** their careers.*



Resurrect

To bring someone back to life / to bring something into use or existence



Flagging

*The **flagging** economies in several advanced nations is the real cause of concern and easy money policies are not able to **resurrect** their economies.*



RESERVE BANK
OF AUSTRALIA



Flagging

Becoming weaker/ slower / less effective



Growth by merger

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LEARNING SPACE

...Transforming Human Lives

The last three quarters proved a **brutal testament** to the **ravages** that heightened competition could **wreak** on a middle-of-the-pack firm's operational finances.



LEARNING SPACE

...Transforming Human Lives



Brutal

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*In the early 1890's, a series of **brutal** winters decimated the cattle industry in some of the western countries*

**Brutal**

Violent / punishingly hard or uncomfortable



Testament

*The recent victories in Uttar Pradesh and Uttarakhand are indeed a **testament** to the popularity of Shri Narendra Modi.*



Shri Narendra Modi

Testament

Something that serves as a sign or evidence of a specified fact, event, or quality.



Ravages

*The **ravages** of the indiscriminate firing is clearly evident when one looks at the broken window panes of the building.*



Ravages

The damage caused by disease / war etc.



Wreck

*Several employees stormed the building and tried to **wreck** the company's global headquarters.*



Wreck

To destroy or badly damage something/to spoil something completely



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In Vodafone's case, the planned merger offers the global telecom major an opportunity to downsize its engagement with a market in which promise has **outweighed** performance, without actually exiting it. To that extent, it is a win-win for both parties. Set to **vault** the combined entity to the top of the heap in India's 1.13-billion subscribers strong mobile phone services market, the 'merger of equals', as the two companies described it, will **enable** Vodafone to straight away net about Rs.3,900 crore on **consummation** of the deal by selling a 4.9% stake to the Aditya Birla Group, leaving its holding in the new company at 45.1%. Idea's controlling shareholders will have an opportunity to increase the 26% stake they will have at the start of the relationship by acquiring more shares from Vodafone over the next four years.



Outweigh

*The long term benefits of demonetization far **outweigh** the short term pain, as stated by the Government*



Outweigh

More important **or** more influence than something else



Vault

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*With the merger of five associate banks, the State Bank of India is now **vaulted** to the global top 50 banks.*

**Vault**

To move someone suddenly to a more important position / higher level

Vault



Enable

Concentrating on nutrition security will **enable** India to come out of the problem of malnutrition



minerals



vitamins



Enable

To make something able to do something / to make something possible



Consummation

LIVE



vodafone

!dea

*The business deals between the two entities must be **consummated** without any operational problems.*

The act of making something complete or perfect

Consummation



The act of making a marriage or romantic relationship complete by having sex

Consummation



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Substantial

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A **substantial** population
is still living in slum
areas in Indian cities.



Substantial

of considerable importance / size



Synergy

*In case of mergers, especially among the two or more equals, **synergy** plays a vital role.*



Synergy

The interaction of two or more organizations or other agents to produce a combined effect greater than the sum of their separate effects.



Ambitious

The Government has an *ambitious* goal of ensuring housing for all by 2022



Ambitious

Strong wish to be successful



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...Transforming Human Lives



Nevertheless



*I know something about
Bitcoins, but his talk on the
subject was interesting
nevertheless.*



*The apartment complex is well
guarded, but robberies occur
nevertheless.*

Nevertheless

Despite what has just been said or referred to



Staunch

LIVE



Nowadays, China is
a **staunch** supporter
of free trade.



The company did nothing to
staunch the tide of rumours.

Staunch

Very loyal and committed
in attitude.

Staunch

Stop or restrict



Red ink

Subsequent to 2008 global financial crisis, several companies were drowned in red ink.



Red ink

Financial loss in business



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Work cut out

*Vodafone and Idea have their
work cut out in the lead up to
the merger.*



Work cut out

The company has got something very difficult to do



Tip one's hand

*With regard to any physical evidence, certainly nobody is **tipping his/her hand** in this investigation.*



Tip one's hand

To reveal what one is going to do



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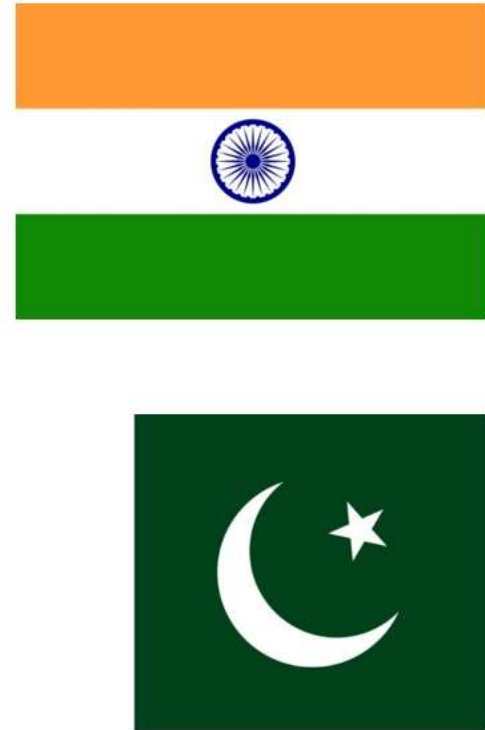
LEARNING / SPACE

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Exacerbated

*Frequent terrorist attacks
from across the border are
exacerbating the relations
between India and Pakistan.*



Exacerbated

To make something worse, which is already bad



Time to Bring in a Tough Privacy Law

The Aadhaar Act is not enough to prevent misuse

Most people love to see fish swim about inside a glass aquarium. Few would enjoy the prospect of trading places with the fish. But that possibility is very much on the cards, with the government making Aadhaar mandatory for an increasing number of functions. The government needs to put in place a strong privacy law, to prevent such piscine transformation of Indians, and to protect their privacy, recognised by anyone sane as a necessary condition of life and liberty. The Aadhaar law has some provisions to prevent its misuse but that is not enough.

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seeking to map consumers' behaviour, health, financial status and tastes, to create an information asymmetry prejudicial to not just consumer interest but also individual liberty. The National Health Policy 2017 envisages extensive data gathering on healthcare. Portability of medical records by storing

them in the cloud would be of great use and convenience, no doubt, but if that data can be accessed by people who have no business to, that would be a major problem. It would be worse, if the data is tagged by Aadhaar and the medical data is correlated with financial data also tagged by Aadhaar. Since payments above a limit would need the income-tax department's Permanent Account Number (PAN) card to be shown and since PAN has to be mapped to Aadhaar, access to Aadhaar data can potentially lead to access to an individual's payments history.

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DISCUSSION ON 27th Mar (Monday)

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